Internal Compliance Incident Management Guide

Introduction

This guide outlines HarborPoint Community Bank's standards for identifying, assessing, and managing suspected compliance incidents. It is intended for Compliance, Legal, Internal Audit, HR, and business unit leaders involved in issue intake and resolution. The document establishes consistent governance, documentation expectations, and decision authorities to support fair and defensible outcomes. These guidelines help protect customers, employees, and the bank's regulatory standing.

Investigation Intake and Case Management

At intake, the case manager must first establish need-to-know permissions in CCP and assign a unique case code for all emails, notes, and file references to protect confidentiality and support auditability. Using the "people named" section of the CP-101 intake and any later additions, the manager performs a conflict/independence screening to determine whether any subject or witness is part of Compliance, Internal Audit, or holds a VP-or-above officer title. The outcome of this screening must be documented in CCP before an investigator is assigned, as it governs permissible routing and helps prevent real or perceived bias. If any named individual meets the independence trigger criteria, the manager files Form CP-102 to request an independent investigator and promptly notifies the Audit Committee liaison to ensure appropriate oversight. If no triggers are identified, the matter proceeds through standard assignment within the Compliance Investigations team under established service-level expectations. This intake control ensures investigations are staffed objectively, reduces escalation risk, and aligns HarborPoint's process with regulatory expectations for independence and governance.

Conclusion

Consistent incident management promotes timely remediation and reduces operational, legal, and reputational risk. Following these guidelines ensures evidence is preserved, decisions are traceable, and responsibilities are clear across teams. Adherence supports accurate regulatory communications and strengthens internal controls. All employees and leaders are expected to apply these standards whenever potential compliance concerns arise.